Letter of Intent – BPL Term Loan

Date:

Re: Property Addresses – See Exhibit A

Dear

Thank you for providing Sphinx Capital, LLC ("Originator") information regarding your request for business purpose real estate financing. Based on our preliminary and limited review of the information provided, we are pleased to inform you of our interest in pursuing this opportunity further, subject to the terms and conditions set forth below. If the below terms are acceptable, please sign this preliminary approval letter to begin the process as detailed in Exhibit B.

Preliminary Transaction Details

Loan Amount		Stated Borrower/Sponsor FICO	
Interest Rate*		Estimated Property Value	
Loan Program	BPL Term	Loan-to-Value Ratio (LTV)	
Property Type		Prepayment Penalty	
Loan Term	360 Months	Estimated DSCR	
Loan Purpose		Escrow Account	Yes (Taxes and Insurance)
Loan Type	30 Year Fixed, P&I	Amortization Term	360 Months (P&I Loan)
Borrowing Entity	TBD LLC	Rate Lock Preference	☐Signed LOI ☐Upon receipt of all appraisals
Personal Guaranty	Full from	Estimated Monthly P&I Payment	

*The Interest Rate will be locked following the execution date of this Letter of Intent or after all appraisals have been received (indicated based on the box checked above), and the rate lock will be for 45 calendar days. Your Loan Interest Rate is based on loan credit parameters, represented by you (and stated in this Letter), and may be changed if differences are found in underwriting, at the Originator's sole discretion.

Estimated Fees & Other Details*

Rate Buydown:	% of the Loan Amount
Origination Fee:	
Underwriting Fee:	$1,295
Legal/Doc Fee:	$500
Appraisals:	Costs can vary based on several factors including geographic region, the service provider and the type of report ordered. Costs are controlled by independent third parties, subject to change without notice and are not within the Originator's control. Appraisals are paid for by the Borrower.

* The above estimates do not include title fees, borrower's legal fees, or any other third-party costs incurred while closing the loan.

I appreciate the opportunity to present this proposal and look forward to the possibility of working with you. To accept this proposal, please sign the acknowledgment on the following page.

Sincerely,
Lance Stukaloff
Managing Partner

Re: Property Addresses – See Exhibit A

Disclaimer

The proposed Loan Interest Rate and terms may be unilaterally withdrawn or adjusted by Originator in its sole discretion at any time in the event, during the underwriting process, certain loan parameters are determined to be materially and adversely different compared to those presented at the time this Letter was issued.

Please note this Preliminary Approval Letter serves to outline the terms of the proposed financing of the referenced transaction. This Preliminary Approval Letter is merely a general proposal and is neither a binding offer nor a contract. Borrower understands and agrees that Originator is not obligated to enter into the transaction contemplated by this Preliminary Approval Letter, on the terms set forth herein, or on any other terms, unless and until Originator obtains internal committee approval, which committee approval shall be predicated on multiple factors including but not limited to satisfactory appraisal, environmental screening report (documenting no environmental risks), specific historical and current operating expense explanations, satisfactory credit review of the borrowing entity and Key Principals, and satisfactory review of the property's market and submarket, and Originator or its capital partner executes and delivers to Borrower final definitive loan documents, the terms of which shall supersede in their entirety the terms set forth herein. No party shall have any legal rights or obligations with respect to the other unless and until a formal application for the potential loan is signed by both Originator and Borrower.

Borrower Acceptance

Name:

Signature:

Date:

Exhibit A – Property Address

1.
2.
3.

Thank you for choosing Sphinx Capital as your real estate capital partner! We are looking forward to working with you to close this loan and help you achieve your financial and investment goals.

Our intention is to demystify the financing process for you. We have been in the industry for many years and we realize that what is second nature to us - including certain industry language, practices, and processes - may initially be unfamiliar to you.

With that in mind, our aim is to provide clarity and help you feel comfortable and confident throughout the process. **Please review this step-by-step guide to familiarize yourself with the process. Also feel free to reach out at any time with any questions you may still have.**

1. Letter of Intent

The first step of the process is to review the Letter of Intent on Page 1.

The Letter of Intent details the loan terms that we are able to provide based on the information you provided in your initial application. The terms are subject to change during the process if any of the information changes from the initial application.

Please also note that the economy and capital markets are dynamic and while it is a rare occurrence, the loan terms are also subject to change in response to market conditions.

Please feel free to call or email with any questions you have about the loan terms.

As soon as you would like to proceed with the proposed terms, sign the Letter of Intent to proceed with the process.

2. Loan Processing

Once you sign the Letter of Intent, our team will send you an email with a list of documents and action items required to complete our underwriting process.

Along with the list of conditions, you will receive a link to a secure online platform where you can always see the outstanding conditions and upload the documents. You can also email us the documents directly if you prefer.

The conditions and documents required for underwriting vary depending on the type of loan you are applying for. You can find an explanation of what we are checking for in each document on the online portal condition list and in Exhibit B following this guide.

As you provide documents and conditions, we will review them and let you know if there is anything missing or if we have any questions or need more info about a specific document.

The more quickly you are able to provide the requested documents, the more quickly we can complete our review and close your loan. Please prioritize the process and set aside time early on to send us what you have on hand and find or request anything that you do not have readily available.

3. The Appraisal

While you are gathering and providing your documents, we will order an appraisal for your property or properties. Most appraisals will be ordered from an Appraisal Management Company (AMC). You will receive an invoice for the appraisal payment directly from the AMC. Once it is paid, the appraiser will call you directly to schedule an inspection of the property.

The appraisal process is generally the longest part of the process, so it is important to pay the invoice and schedule with the appraiser as soon as possible, especially if it is a purchase transaction or if you need to close quickly.

4. Underwriting

Once we have received all of the documents, including the appraisal report, your loan will go into underwriting in which the entire loan file will be thoroughly reviewed by our team.

The underwriting team will ask any clarifying questions or request further documentation if needed to meet the requirements of the loan program.

5. Final Commitment Letter

If everything checks out and meets our guidelines, the underwriter will issue a Final Commitment Letter, which will be sent to you for electronic signing.

The Final Commitment Letter will detail the loan terms that we will provide based on the fully underwritten loan. It may differ from the loan terms from your Letter of Intent if anything verified during the process was different from your application.

6. Closing

Once you have agreed to The Final Commitment Letter, loan documents will be prepared by our legal team and the closing will be scheduled with your escrow officer, title agent, or attorney. Once loan documents have been signed, the loan will be funded.

7. Post-Close

After closing, depending on the type of loan you received, you will receive instructions by mail and email on how to make your loan payments from the servicing company.

If your loan includes a renovation or construction holdback, we will provide you with instructions on how to request a draw.

Thank you for taking the time to familiarize yourself with our process. We are glad you have chosen to work with us and we look forward to providing you with a smooth experience.

We aim to create long-term partnerships with everyone we conduct business with. This is not just a one-off transaction to us. Any feedback about how we can better serve you is welcome and appreciated. Please feel free to reach out anytime with any questions by calling your point of contact or emailing info@sphinxcap.com.

Exhibit B - DSCR Loan Underwriting Checklist

Below are the documents that are required to be reviewed in underwriting, along with explanations of why we collect each specific document and tips to ensure that they are approved during the process.

You will receive an online version of this checklist during the process as well.

	Document	Purpose / Tips
	Loan Application	This will be sent to you to complete online.
	Copy of ID	Copy or picture of driver license or passport for all borrowers.
	Entity Formation Document	Typically called the Articles of Incorporation or Certificate of Formation.
	Entity Operating Agreement or Bylaws	LLCs use Operating Agreements, Corporations use Bylaws. Must be signed by all entity members and include the % of ownership for each.
	Entity EIN Letter or W9 Form	If you don't have a copy of the original EIN Letter, we'll send you the W9.
	Schedule of Real Estate Owned	Used to verify past property ownership experience. Must include the address, owner on title, estimated value, and date acquired.
	Lease Agreements	Make sure to include all pages and signatures.
	Proof of Rent Received / Rental Ledgers	Verifies that tenants are making their payments on time. Can be a bank statement showing rent deposits, or a ledger from a rental software.
	Voided Check	Verifies the account that you will make loan payments from.
	Two Months' Bank Statements	Verifies available liquidity.
	Original Settlement Statement (refinance only)	Verifies property ownership and acquisition price.
	Purchase Contract (purchase only)	Please ensure the contract is signed and all addendums are included.
	Payoff Statement (refinance only)	Typically the title company will request this from your lender as well.
	Scope of Work (for recently renovated properties)	Used to determine how much $ has been spent on the property.

Additional documents that we will order:

Appraisal	The appraiser will contact you to complete the inspection.
Evidence of Insurance	We will order this directly from your insurance agent.
Credit Report	We use a soft pull and the middle of your three scores to price the loan.
Entity Certificate of Good Standing	Please ensure that your entity is in Good Standing with the state.
Background Report	Checks civil and criminal databases for any past activity.

Preliminary Title Report	Verifies the chain of ownership for the property and any liens.